

**DEPARTMENT
POLICY****All Programs**

This item identifies all the following:

- Unearned income types.
- Definition of each unearned income type.
- Whether an unearned income type is countable or excluded for each type of assistance.

**EXPENSES OF
OBTAINING
UNEARNED INCOME**

Exclude amounts paid or withheld from unearned income which are essential expenses of obtaining the income. Enter these amounts in the expense screen of unearned income.

Examples:

- Legal and medical expenses withheld from a lawsuit settlement.
- Disability insurance premiums which must be paid to continue current disability payments.

Medicaid Only

There is a limit to the deduction of court-ordered guardianship and conservator expenses. See Bridges Eligibility Manual ([BEM](#)) [536, Determining Budgetable Income - Group 2 Under 21 and Caretaker Relative](#), [540, MA Deemed Income And Deduction --SSI-Related Children](#), [541, MA Income Deductions - SSI-Related Adults](#), or [546, Post-Eligibility Patient-Pay Amounts](#), depending on the type of budget being done. Enter guardianship/conservator expenses on the Support Expense Details screen in Bridges.

UNEARNED INCOME TYPES

All Programs

ACCELERATED LIFE INSURANCE PAYMENTS

An accelerated life insurance payment is payment of the death benefit of a life insurance policy prior to the insured individual's death. Some companies call the payment a living need payment or accelerated death payment. Details of the payment option vary from company to company. Under most plans, payment is available when the insured individual meets any of the following:

- Needs care in a long-term care (LTC) facility.
- Has a catastrophic illness.
- Is terminally ill.

The individual might have the option of receiving the payments over a period of months or all at once.

Receipt of such payments might reduce the cash surrender value of the insurance policy. In some cases, a lien might be attached to the insurance policy. Accelerated life insurance payments are **not**:

- Conversion of an asset from one form to another.
- A potential benefit for which an individual must apply.

Count the gross amount of an accelerated life insurance payment as unearned income.

Exception: It is a lump sum if payment is received all at once; see [BEM 500, Lump Sums and Accumulated Benefits](#).

ADOPTION SUBSIDIES

Family Independence Program (FIP), State Disability Assistance (SDA), Refugee Cash Assistance Program (RCA), Child Development and Care (CDC) and Food Assistance Program (FAP)

An adoption subsidy is a payment to the adopting parent(s) of an adopted child who would remain in foster care without the subsidy incentive. There are two types of adoption subsidies:

Support Subsidy

A support subsidy is a payment for ongoing care and support of the child. This is entered as income for the adopting parent and is countable income.

Medical Subsidy

A medical subsidy is a payment for medical expenses due to a physical, mental or emotional condition of the child. Bridges excludes medical subsidies as income. They are reimbursements.

Do not include funds from these payments in liquid asset amounts entered in Bridges. They are excluded assets.

Note: Support Subsidy is excluded as income for Medicaid programs.

**AGENT ORANGE
PAYMENTS****All Programs**

Agent Orange payments are received from Aetna Life and Casualty because of the Agent Orange lawsuit settlement and Public Law 101-201. Exclude these payments as income. Do not include funds from these payments in liquid asset amounts entered in Bridges. They are excluded assets.

**ALIEN SPONSOR
INCOME****FIP, SDA, RCA, Medicaid, CDC**

Count actual contributions a non-citizen receives from their sponsor as unearned income.

FAP Only

See [BEM 550, FAP Income Budgeting](#), about how Bridges counts both of the following:

- The sponsor's actual contributions to the alien.
- An amount deemed to the alien from the sponsor by policy.

AMERICAN INDIAN PAYMENTS

All Programs

Gaming Revenue

Individuals may receive income from tribal gaming profits including casino profit sharing. Count as unearned income all payments made to American Indians from gaming revenues. Do **not** exclude any part of these payments. If a payment is intended to cover multiple months, use the appropriate payment frequency in Bridges to average the income for applicable type of assistance.

Payments Excluded by Federal Laws

Many federal laws exclude all or a part of payments made to American Indians. These have been programmed into Bridges and are identified in *EXHIBIT I- NATIVE AMERICAN PAYMENT EXCLUSIONS* in this item.

ANNUITY INCOME

All Programs

Payments an individual receives from an annuity are unearned income. Count annuity payments as the individual's unearned income.

Note: For MAGI Medicaid some structured annuity income that is non-taxable may not be counted toward an individual's Medicaid income; see [BEM 401, Trusts - MA](#).

BLACK LUNG

Black Lung benefits are administered by the federal government. The purpose of the program is to provide wage replacement and medical benefits to coal miners who are totally disabled due to black lung disease. Payments are also made to disabled coal miners' eligible survivors. Count black lung payments as the individual's unearned income.

**CHILD/COMMUNITY
SPOUSE
ALLOCATION****SSI-Related Medicaid and FAP Only**

Sometimes policy deems someone's income (or a portion of income) available to another individual. Deeming rules are programed into Bridges and deemed amounts are automatically calculated.

Money diverted by an L/H patient to their community spouse or dependents at home per [BEM 546](#) is a contribution. Count the gross amount actually received as the community spouse's or dependent's unearned income.

SSI-Related Medicaid Only

Community Spouse Allowance – Patients in a hospital or long-term care facility for 30 or more days (L/H patients) can divert income to meet the needs of a community spouse. The community spouse income allowance is the maximum amount they can divert. The community spouse income allowance amount is updated each year.

Child Allowance – L/H patients without a community spouse can divert income to their unmarried children at home who:

Are under age 18, and

Do not receive FIP or SSI.

Information for calculating the children's income allowance can be found in BEM 546.

Family Allowance – L/H patients can divert an amount to certain family members who:

Live with the community spouse; and

Be either spouse's

- Married and unmarried children under 21.
- Married and unmarried children over 21 if claimed either spouse's federal tax return.

Siblings and parents, if they are claimed as dependents on either spouse's tax return.

See BEM 546 for more information on calculating the family allocation.

CHILD FOSTER CARE PAYMENTS

FIP, SDA, RCA, CDC, MA

Exclude government, court or private agency payments for child foster care and independent living stipends.

Note: For FIP, recipients of child foster care payments have an eligibility determination group (EDG) participation status of excluded; see [BEM 210, FIP Group Composition](#).

FAP only

Count these payments as the unearned income of the foster child who has a FAP program request status of yes.

Reminder: A foster parent may choose whether to request FAP on behalf of a foster child. When FAP program request status for foster child is no, Bridges does not consider the child's needs or income in the FAP eligibility determination: see [BEM 212, Foster Children](#).

Note: Contact the childrens service worker for the amount paid.

Independent Living Stipend

Independent living stipends (ILS) are payments made to a foster child who is in an independent living arrangement. Michigan Department of Health & Human Services (MDHHS) services manual defines independent living as: "The youth's own unlicensed residence or the unlicensed residence of an adult who has no supervisory responsibility for the youth."

FIP, SDA, RCA, CDC

Recipients of independent living stipends (ILS) have an eligibility determination group (EDG) participation status of excluded. Bridges does not consider the recipient's need, income or assets: see [BEM 210](#), [BEM 214, SDA Group Composition](#) and, [BEM 215, RCA Group Composition](#).

FAP

Count independent living stipend payments as unearned income.

CHILD SUPPORT**All Programs**

Child support is money paid by an absent parent(s) for the living expenses of a child(ren). Medical, dental, child care and educational expenses may also be included. Court-ordered child support may be either **certified** or **direct**. Certified support is retained by the state due to the child's FIP activity. Direct support is paid to the individual.

Child support is income to the child for whom the support is paid.

FIP, SDA, RCA, CDC, FAP

Child support payments, including arrearage payments, received by a custodial party for an adult child or a child no longer living in the home, are considered the other unearned income of the payee if the money is not forwarded to the adult child or child. If the money is forwarded to the adult child or child, it is other unearned income of the adult child or child.

Note: If the child support payments are paid for a minor child who has been removed from the home of the custodial parent, the income is still the income of the child, unless documented otherwise.

Exception: SSI-related Medicaid **Only** - Arrearage payments received and retained by a parent for an adult child, or a child not living in the home, are considered unearned income for the parent. Any amount of the payment which is passed through to the adult child it is not income to the parent.

MAGI Medicaid

Child support payments are not countable for the payee nor are they deductible for the payer in a MAGI Medicaid determination.

**Child Support
Certified****All Programs**

Certified support means court-ordered payments the Michigan State Disbursement Unit (MiSDU) sends to MDHHS due to a child's receipt of assistance. Office of Child Support refers to these collections as retained support. This may include court-ordered medical support payments.

CDC Only

Exclude as income, both of the following:

- The amount of collections retained by MDHHS (certified support).
- Direct Support payments the group receives (in error) after the child support certification effective date and returns to MDHHS.

FAP Only

Exclude collections retained by MDHHS (certified support) and direct support payments the group receives after the child support certification effective date.

**Child Support Non-
FIP Arrears****All Programs**

For FIP eligibility determination groups whose initial eligibility is approved on or after October 1, 2009, collections attributed to a time when the family was not receiving FIP, are not retained by the state. Office of Child Support refers to these payments as pre-assistance arrears.

FIP and RCA Only

These payments are excluded income.

NON-MAGI Medicaid

Arrearage payments received and retained by a parent for an adult child, or a child not living in the home, are considered unearned income for the parent. Any amount of the payment which is passed through to the adult child it is not income to the parent.

CDC Only

This type of child support income has no effect on CDC eligibility when received by FIP recipients because they are eligible for CDC through the CDC Protective Services category.

When received by a non-FIP recipient, this is countable unearned income.

FAP Only

This type of child support income is countable.

**Child Support
Certified Potential
Family Arrears****All Programs**

For FIP eligibility determination groups whose initial eligibility of ongoing benefits was approved prior to October 1, 2009, collections attributed to a time when the family was not receiving FIP, are retained by the state. The Office of Child Support refers to these payments as potential family arrears.

**Child Support
Client Participation
Payment****All Programs**

Child support client participation payment (CPP) means a payment issued to a current FIP recipient in lieu of current certified support.

FIP, SDA, RCA, CDC and MAGI Medicaid

This type of child support income is excluded.

RMA, SSI-Related Group 2 Medicaid and FAP

This type of child support income is countable.

**Child Support
Direct (Court-
Ordered)****SDA, RCA, RMA, CDC, MA and FAP**

Court-ordered direct support means child support payments an individual receives directly from the absent parent or the MiSDU. Count the total amount as unearned income, except any portion that is court-ordered or legally obligated directly to a creditor or service provider.

FIP Only

This is excluded as income.

Note: Court-ordered direct support payments, including arrearage payments, received by a custodial party for an adult child or a child no longer living in the home, are considered the countable other unearned income of the payee if the money is not forwarded to the adult child or child. If the money is forwarded to the adult child or child, it is the countable other unearned income of the adult child or child.

**Child Support
Refund****All Programs**

Child support refund means a payment issued to a current or former FIP recipient when support was misdirected to MDHHS (retained in error) due to a delay in child support decertification. Office of Child Support refers to these payments as late decerts.

Excluded as income.

**Child Support
Reimbursement****All Programs**

Child support reimbursement means a payment issued to a current or former FIP recipient when the state receives certified support exceeding the amount that may be retained to offset FIP paid. Office of Child Support refers to these payments as excess Unreimbursed Grant (URG) amount.

Excluded as income.

**Child Support
Voluntary (Not-
Court Ordered)****All Programs**

Voluntary support means child support payments that are **not** court-ordered. The payments are received by the individual directly from the absent parent. Count the total amount as the child's unearned income. See [BEM 518, Voluntary Support](#), for the voluntary support income disregard for FIP.

CRYPTOCURRENCY**All Programs**

Once cryptocurrency is converted/cashed out into U.S. dollars, it becomes unearned income.

Income received from crypto mining is considered unearned income, but only once it has been converted/cashed into U.S. dollars.

Cryptocurrency that has not been converted/cashed out is considered an asset. See BEM 400.

DEATH BENEFIT**All Programs**

Death benefits are money an individual receives from Social Security or an insurance company due to the death of another individual. Enter as *death benefit* in both as unearned income and a lump sum.

FIP, SDA, RCA, CDC, and FAP Only

A death benefit is a lump sum; see [BEM 500, Inconsequential Income](#).

Medicaid

A death benefit is unearned income. Count the gross benefit minus the amount used to pay the last medical expenses and burial costs of the deceased individual.

**DONATIONS/
CONTRIBUTIONS****All Programs****Home Heating Fuel
Supplier or Public/
Government
Agency**

Exclude as income, a donation given to an individual by a home heating fuel supplier or a public/government agency for food, clothing, shelter or home energy.

**Individual Outside
the EDG**

A donation to an individual by family or friends is the individual's unearned income. Count the gross amount received if the individual making the donation and the recipient are not members of any common eligibility determination group.

Exception: See [BEM 500, Inconsequential Income](#).

Note: A donation or gift from this source is not countable income for MAGI Medicaid.

**Private, for Profit/
Other Donations**

Donations from a private, for-profit organization are countable unearned income. Donations from sources other than those specified in policy are countable unearned income.

Note: A donation or gift from this source is not countable income for MAGI Medicaid.

**Private, Nonprofit
Organization
Assistance**

This means money an individual receives from a private, nonprofit organization based on need, as determined by the contributing organization. Exclude the first \$300 received during a calendar quarter. Amounts more than \$300 per calendar quarter are counted as unearned income.

Note: A donation or gift from this source is not countable income for MAGI Medicaid.

**EDUCATIONAL
ASSISTANCE (NOT
WORK STUDY)****All Programs****Grants, Loans,
Scholarships etc.**

Educational assistance includes grants, loans, scholarships, assistantships, stipends and fellowships for education. Exclude these income types as income and as assets.

See [BEM 501, Work Study](#).

**Operation
Graduation**

The Operation Graduation School Dropout Prevention Program is funded by the Michigan Department of Education and operated by local school districts. Recipients are secondary school students age 12 through 18.

Excluded as income.

**FACTOR
CONCENTRATE
LITIGATION
SETTLEMENT
(WALKER VS.
BAYER)****All Programs**

Four manufacturers of blood plasma settled a lawsuit involving hemophilia patients who became infected with human immunodeficiency virus. The court case was referred to as Susan Walker vs. Bayer Corporation. Beneficiaries of the lawsuit may receive a settlement worth \$100,000. Payment may be a one-time payment or periodic payments. Enter one-time payments as a lump sum. Enter periodic payments as unearned income.

The recipient may have documents from the settlement law group regarding factor concentrate litigation settlement.

FIP, SDA, RCA, CDC, and FAP Only

Count lump sums as assets beginning the month received.

Count periodic payments as unearned income.

Medicaid

Exclude all settlement payments as both income and assets.

**FILIPINO VETERANS'
EQUITY
COMPENSATION
FUND****All Programs**

These payments are issued to certain veterans and surviving spouses of veterans who served in the military of the Government of the Commonwealth of the Philippines during World War II.

Excluded as income and assets.

FLEXIBLE BENEFITS

See, [BEM 501, Flexible Benefits](#).

**FLINT WATER
SETTLEMENT
AWARDS****FIP, SDA, CDC, FAP, and Medicaid**

The payment individuals receive from the Flint Water Settlement Awards is excluded.

Do not enter the payment in Bridges, but the payment should be documented in the case.

This payment is an excluded asset; see [BEM 400 Assets, Flint Water Settlement Awards](#).

**FOSTER
GRANDPARENTS****All Programs**

This is a Domestic Volunteer Services Act, Title II program. Payments are excluded under Public Law 93-113 as income and as an asset.

GOVERNMENT AID**All Programs****Child Care
Nutrition Payments**

Child care nutrition payments may be made through the National School Lunch Act or the Child Nutrition Act of 1965. This income type is excluded for all programs when payment is received only for an individual's own child(ren). In this situation, do not enter any payments in Bridges.

This income type appears only in the self-employment income for use when an individual receives payment on behalf of someone else's children for whom child care is provided.

Exception: FAP Only

When a child care provider receives payments for someone else's children, payments must be entered as self-employment income. Bridges will determine countable income from this source: See [BEM 502, Child Care Nutrition Payments](#).

Child Development and Care Program (CDC)

All Programs

When CDC is approved for a parent/substitute parent (PSP), do not enter CDC payments as income for the PSP. These payments are excluded income for the family receiving the care.

Note: For an individual who provides care in their home and not the home of the child, see [BEM 502, Self Employment Income](#) or for an individual who provides the care in the home where the child lives, see [BEM 501, Wages](#).

Family Support Subsidy

All Programs

Department of Health and Human Services makes payments to families with impaired or autistic children under age 18. Exclude Department of Health and Human Services family support subsidy payments to families when the child is living in the home. These payments are for needs **not** covered by the state standard of assistance.

Federal Emergency Management Assistance (FEMA)

All Programs

The FEMA program makes payments to individuals for a variety of emergent needs.

Excluded as income and an asset.

Exception: FAP only

If money received from the FEMA program is for temporary housing, and exceeds the actual cost, count the difference as unearned income unless it is returned to the FEMA program.

**FOOD
ASSISTANCE
PROGRAM****All Programs**

Do not enter FAP issuances as income in Bridges. Food assistance is excluded as income and as an asset.

**FIP, SDA, RCA or
Cash Assistance****FIP, SDA, RCA, CDC, Medicaid**

Exclude FIP, RCA and SDA as unearned income.

FAP Only

FIP, RCA and SDA benefits are considered the unearned income of the FIP, RCA or SDA head of household (formerly grantee). Count as unearned income, the amount of cash assistance benefits minus any excludable portion.

The following portions of cash assistance benefits are excluded by Bridges:

- The amount of non-IPV administrative recoupment.
- The amount of initial cash benefits intended to cover a current or previous month, when FAP benefits have already been authorized for such months.

Some types of FIP and RCA penalties, require budgeting of cash assistance for FAP, even when not received. See:

- [BEM 233A, Failure to Meet Employment and/or Self-Sufficiency Related Requirements: FIP.](#)
- [BEM 233B, Budgeting Last FIP](#), when FIP closes.
- [BEM 233C, Failure to Meet Employment Requirements: RCA.](#)
- [BEM 550, Disqualified or Ineligible Persons](#), for how income is budgeted for disqualified or ineligible individuals.

Bridges calculates countable cash assistance benefits for FAP based on program policy rules.

FIP, SDA, and RCA Supplements

FIP, SDA, RCA, CDC, Medicaid

When a cash assistance underpayment is determined for a benefit period for which benefits have already been issued, it displays supplement on the eligibility summary screen. When the new eligibility results are certified, the difference between the original issuance and the new benefit calculation is automatically authorized.

Exclude these payments as income.

FIP, SDA, and RCA Delayed Benefits and Reinstatement

FAP Only

When initial cash assistance authorization is delayed until after FAP is authorized, Bridges does not count the cash assistance for that benefit period in the FAP benefit calculation.

Bridges counts FIP, RCA and SDA benefits issued because of reinstatement only if authorized before or at the same time FAP benefits are authorized for the benefit period for the first time. Allow the exclusions described in FIP, RCA or SDA Cash Assistance.

Reinstatement benefits that cover or restore retroactive FIP, RCA or SDA benefits are lump sums. Lump sums are assets.

Home Help Services Under Medicaid

All Programs

Individual's needing care in their homes may qualify for MDHHS to make payment on their behalf to a service provider. Do not enter these payments for the individual receiving the care. These payments are excluded income for the individual receiving the care.

Enter home help services payments received by the individual providing the service as that individual's employment income; see [BEM 501, Independent Living Services](#).

**Housing
Assistance****All Programs**

The Federal Office of Housing and Urban Development (HUD) and the Farmers Home Administration (FMHA) provide many forms of housing assistance (example: subsidized housing) under the following laws:

- Subchapter II of the Uniform Relocation and Real Property Acquisition Act of 1970.
- U.S. Housing Act of 1937.
- Experimental Housing Allowance Program made under Annual Contribution Contracts entered prior to January 1, 1975.
- National Housing Act.
- Section 101 of the Housing and Urban Development Act (HUD) of 1965.

Exclude any housing assistance with HUD or FMHA involvement as income and as an asset.

**Nutrition Program
for the Elderly,
Title VII****All Programs**

Enter payments received from the Nutrition Program for the Elderly, Title VII of the Older Americans Act of 1965, in unearned income.

Excluded as income and assets.

**Out of State
Diversion****All Programs**

Some states offer a Temporary Assistance for Needy Families (TANF) diversion program. It is intended as a one-time payment in lieu of periodic/monthly TANF assistance (Known as FIP in Michigan). This is considered a one-time payment and excluded income for all programs.

**Refugee Matching
Grant****All Programs**

This is an employment program administered by refugee resettlement agencies. It provides job training and maintenance assistance (food, housing, transportation, etc.) to eligible refugees. The benefits are partly cash, but mainly in-kind goods and services. Enter any cash payments made directly to the refugee as unearned income.

FIP, SDA, and RCA Only

Recipients of Refugee Matching Grant have an eligibility determination group participation status of excluded. Bridges does not consider the recipient's need, income or assets: see [BEM 210](#), [BEM 214](#), [BEM 215](#), for Excluded RCA Eligibility Determination Group Members, and [BEM 222, Concurrent Receipt of Benefits](#), for Refugee Matching Grant.

CDC and FAP Only

Count a unearned income.

Medicaid

Exclude as income.

**Refugee
Resettlement
Assistance****All Programs**

Refugee resettlement assistance is distributed within 90 days of a refugee's date of entry. Payments may be made to third parties such as landlords, utility companies or other service providers: see [BEM 500, Third Party Assistance](#). Payments may also be made directly to refugees. The number and frequency of payments are determined by the refugee resettlement agency.

FIP, SDA, RCA, CDC, Medicaid

Exclude all payments as income.

FAP Only

If payments are made monthly, exclude the first \$300 per calendar quarter as this is considered a donation. Budget remainder of payments made to refugees as unearned income. If payment meets the definition of a lump sum, see [BEM 500, Lump Sums and Accumulated Benefits](#).

**Robert T. Stafford
Disaster Relief**

Payments from the Robert T. Stafford Disaster Relief and Emergency Assistance Act (formerly the Disaster Relief Act of 1974), are excluded as income and as an asset.

**State Emergency
Relief (SER)**

Do not enter SER payments in Bridges. Such payments are excluded as income and assets.

**Women, Infants
and Children (WIC)**

This is a supplemental food program for women, infants and children. WIC is excluded as income and as an asset.

**Guardianship
Assistance
Program****FIP, SDA, RCA, CDC, FAP**

Guardianship Assistance Program is counted as unearned income.

**GUARANTEED
INCOME PROGRAM
(GIP)****All Programs**

GIP is also known as the Universal Basic Income Program (UBI). The GIP or UBI payments are funded solely from public or private funds or combination of both. They provide a modest cash income at regular intervals (such as, each month or year) to all individuals meeting minimal eligibility criteria.

Examples of the payments include the following:

- Detroit Jump Start.
- RX Kids.
- Grow Ann Arbor (GIG 2).
- The Community Health Project (CHP) in Washtenaw County.

Do not enter the payments in Bridges, but the payment should be documented in the case.

Exclude as income and as an asset.

Medicaid Only

Guaranteed income pilot programs must be implemented in conjunction with MDHHS.

- Must be short term in nature, that is, less than 24 months.
- Must target low-income individuals and families.
- Must include a component that identifies the impact of short term guaranteed income payments on low-income families, for example, a research piece.

HEALTH PROFESSION OPPORTUNITY GRANT

All Programs

These payments are issued to provide education and training in the health care field to Temporary Assistance to Needy Families recipients and other low-income individuals.

Exclude as income and assets.

HOME EQUITY CONVERSION PLANS

FIP, SDA, RCA, CDC and FAP

Reverse Mortgage

Reverse mortgages allow a homeowner to borrow, via a mortgage contract, some percentage of the value of their home. The homeowner receives periodic payments (or a line of credit) that does **not** have to be repaid while the homeowner lives in the home.

Money the homeowner receives from a reverse mortgage is a loan and is **not** countable as income or an asset.

Some reverse mortgages involve the purchase of an annuity and are called reverse annuity mortgages.

Payments the homeowner receives from a reverse annuity mortgage are unearned income. Count the gross amount.

SSI Related Medicaid Only

Payments that a homeowner receives from a reverse mortgage are loan proceeds and are not countable income. See, [BEM 400, Reverse mortgage Exclusion](#), regarding the resource value.

Sale-Lease Back Income

All Programs

The homeowner sells a home on an installment note and receives monthly payments from the buyer. The buyer allows the former homeowner to live in the home in exchange for rent. The difference between the buyer's payment and the rent is money the former homeowner can use for current expenses. Sometimes the arrangement involves the purchase of an annuity that pays money to the former homeowner.

Count payments the former homeowner receives from the buyer, minus allowable expenses, as unearned income. Allowable expenses are the former homeowner's cost of things such as mortgage or land contract payments, taxes and insurance on the property sold. The former homeowner's rent is **not** an allowable expense.

Payments the former homeowner receives from an annuity are unearned income. Count the gross amount.

SSI-Related Medicaid Only

Note: See [BEM 400](#), for Sale-Lease Back Asset Value regarding the asset value.

Time Sale**All Programs**

The homeowner signs a contract to sell their home at death but maintains ownership and can continue living in the home. The buyer makes monthly payments to the homeowner now and agrees to pay certain expenses such as property taxes, insurance, and some maintenance.

The contract may call for purchase of an annuity.

Payments the homeowner receives from an annuity are unearned income. Count the gross amount.

Count payments from the buyer to the homeowner, minus allowable expenses, as the homeowner's unearned income. Allowable expenses are the homeowner's costs of things such as mortgage or land contract payments. Expenses paid by the buyer are **not** allowable.

Payments the former homeowner receives from an annuity are unearned income. Count the gross amount.

**TRIBAL GENERAL
WELFARE
PAYMENTS****Medicaid Only**

A payment to a tribal member is considered to be a tribal general welfare payment if it:

Is administered under specific guidelines and does not discriminate in favor of members of the governing body of the tribe,

is available to any tribal member who meets its guidelines,

is for the promotion of general welfare,

is not lavish and extravagant,

and is not compensation for services.

Tribal general welfare payments are not countable for Medicaid.

See "Native American Payments Exclusion" exhibit for other sources of Tribal member payments which are excluded as income.

INDIVIDUAL DEVELOPMENT ACCOUNTS

All Programs

Individual Development Accounts (IDA) are established pursuant to Michigan Public Act 361 of 1998 and section 404(h) of the Social Security Act or Public Law 105-285. IDAs allow low-income families to promote their economic independence by saving for any of the following:

- Postsecondary educational expenses.
- First home purchase.
- Business capitalization.

IDAs are funded by periodic contributions from the family's earnings and matching contributions by or through a nonprofit organization. The IDA must be a trust or a joint account that requires the signatures of both the nonprofit organization and a family member to authorize withdrawals.

Exclude matching contributions and interest, or dividends earned by an IDA as income and assets.

INSURANCE PAYMENTS FOR MEDICAL EXPENSES

All Programs

Insurance payments that are specifically made as reimbursement for incurred medical expenses are excluded as income and as assets.

Common sources of such payments are:

- Health insurance; see [Bridges Policy Glossary \(BPG\)](#).
- Health Reimbursement Arrangements/accounts.
- Automobile insurance that covers medical expenses.
- Long term care facility insurance.

Note: Other insurance must pay claims for medical expenses before MA. See [BEM 257, Third Party Resource Liability](#), for reporting insurance coverage using the DCH-0078, Request to Add, Terminate or Change Other Insurance.

INTEREST AND DIVIDENDS PAID DIRECTLY TO CLIENT

All Programs

Count interest and dividends paid directly to an individual as unearned income. Interest and dividends that are reinvested or deposited back into the asset are excluded as income.

Example: Nicole receives a quarterly interest check from a certificate of deposit (CD). Choose income frequency of *contractual/single payment covering more than one month* and enter the number of months intended to cover *three*.

Example: Tiffany has an IRA and chooses to let the interest automatically reinvest in the IRA rather than receiving interest checks. Do not enter these payments in Bridges.

Note: An S-corporation and LLC may pay shareholders or partners dividends and/or interest. This is unearned income for the individual.

JAPANESE AND ALEUT PAYMENTS

All Programs

To acknowledge the fundamental injustice of being evacuated during World War II, payments are made under Public Law 100-383 to U.S. citizens of Japanese ancestry, resident Japanese aliens and Aleuts. Exclude as income and assets.

JURY DUTY

All Programs

Exclude money an individual receives for being on a jury.

LEASE OF NATURAL RESOURCES

All Programs

Count the gross amount received for leasing natural resources as unearned income. This includes storage rights. Examples of natural resources are:

- Timber.
- Gravel.
- Oil and natural gas.

Exception: Lease income received by an American Indian might be excluded under Public Law 93-134; see *EXHIBIT I-Native American Payment Exclusions* in this item.

LOAN PROCEEDS

All Programs

Enter loan proceeds as unearned income. Exclude funds an individual has borrowed provided it is a bona fide loan. This includes a loan by oral agreement if it is **made into** a bona fide loan.

Bona fide loan means all the following are present:

- A loan contract or the lender's written statement clearly indicating the borrower's indebtedness.
- An acknowledgment from the borrower of the loan obligation.
- The borrower's expressed intent to repay the loan by pledging real or individual property or anticipated income.

This exclusion does **not** apply to either of the following:

- Purchases made with borrowed money.
- Interest earned on borrowed money. However, the interest might be Inconsequential Income as defined in [BEM 500](#).

**MICHIGAN
REHABILITATION
SERVICES
PAYMENTS****All Programs**

Payments from Licensing and Regulatory Affairs, and Michigan Rehabilitation Services are considered reimbursements. Enter this type of income as unearned income.

Exclude as income and as an asset.

**MEDICAL LOSS
RATIO REBATES****All Programs**

Medical loss ratio rebates are paid by insurance carriers when less than 80 percent of premiums are spent on medical care. Eligible households receive the payments by August 1 each year.

Exclude as income.

**MEDICARE
ADVANTAGE PLAN****FIP, SDA, MEDICAID, CDC, and FAP**

The Medicare Advantage Plan, i.e., United HealthCare, Humana, etc., beneficiaries/individuals may receive prepaid debit cards. These cards can be used to purchase groceries, utilities, etc.

Document receipt of the prepaid debit card in the case record, but do not enter this in Bridges.

These are excluded as income and assets. See [BEM 400, Medicare Advantage Plan](#).

**MILITARY
ALLOTMENTS****All Programs**

Allotments are payments for the support of dependents of military personnel, usually initiated by the service member.

It is possible to obtain an involuntary allotment when both following conditions are met:

- A court or administrative order for support exists.
- Payments are past due.

Support specialists can provide information on involuntary allotments. The local chapter of the Red Cross can assist in obtaining voluntary allotments.

Intact Families

A family is intact when an individual is temporarily absent from the home due solely to being in the military. Enter military allotments or money made available to the family at home as military allotment/contribution from absent member. Absent member is in the FIP eligibility determination group and earnings are counted. For FAP, count only the allotment sent home as unearned income for the head of household, as the absent member is not in the FAP group.

Estranged Families

A family is estranged when the individual in the military is **not** temporarily absent due solely to being in the military. When a military allotment is intended for a child, enter the payments as voluntary child support. When payments are intended for an adult, enter as other unearned income.

NAZI VICTIMS' COMPENSATION

All Programs

Exclude payments made as compensation for Nazi persecution. Enter the gross amount and pay details as unearned income. Do not include these payments in liquid assets amounts entered in Bridges.

Austrian Social Insurance Payment

Payments made as compensation for Nazi persecution from paragraphs 500 through 506 of the Austrian General Social Insurance Act.

**German
Restitution Act**

Payments made as compensation for Nazi persecution from the Federal Republic of Germany under the German Restitution Act.

**Netherlands Act
Victims of
Persecution**

Payments made as compensation for Nazi persecution from the Dutch government under the Netherlands Act on Benefits for Victims of Persecution 1940-1945 (Dutch acronym WUV).

**OLDER AMERICAN
VOLUNTEER
PROGRAM****All Programs**

This is a Domestic Services Volunteers Act, Title II program. Payments are excluded unearned income under Title II of Public Law 93-113.

Exclude as income and as an asset.

**USDA PAYMENT-IN-
KIND (PIK)
PROGRAM****Medicaid Only**

This program pays farmers to divert land or reduce crop acreage. Count the payments received as unearned income.

FIP, SDA, RCA, CDC and FAP

See [BEM 502, USDA Payment-In-Kind Program](#).

**RADIATION
EXPOSURE
COMPENSATION****All Programs**

Exclude payments received from Public Law 101-426, Radiation Exposure Compensation Act.

Excluded as income and assets.

RAILROAD RETIREMENT BOARD BENEFITS

All Programs

Current and former employees of railroads and related industries and their families can receive the following types of benefits.

- Disability.
- Retirement.
- Sickness.
- Strike.
- Survivors.
- Unemployment.

The U.S. Railroad Retirement Board makes the payments.

Count the gross benefit amount as unearned income.

Note: Allowances in Railroad Retirement Board benefits for the Medicare Part B premiums are **not** considered a reimbursement and should be included in the amounts entered as unearned income.

RETIRED SENIOR VOLUNTEER PROGRAM (RSVP)

All Programs

This is a Domestic Services Volunteers Act, Title II program. Payments are excluded unearned income under Title II of Public Law 93-113.

Exclude as income and an asset.

RETIREMENT INCOME-OTHER

All Programs

Other retirement income includes annuities, private pensions, military pensions, 401(k), 457, 403(b), IRA distributions and state and local government pensions.

Refer to the specific sections in this item for policies regarding:

- Railroad Retirement Board benefits.
- Retirement, Survivors and Disability Insurance (RSDI).
- U.S. Civil Service and Federal Employee Retirement System.

Count the gross benefit as unearned income.

Note: Allowances in pension benefits for the Medicare Part B premiums are not considered a reimbursement and should be included in the amounts entered as unearned income.

Sometimes benefits are reduced because of a previous overpayment. In such cases, the reduced amount is the gross amount, see [BEM 500, Reduced Benefits Due to Overpayment](#).

**RETIREMENT,
SURVIVORS, AND
DISABILITY
INSURANCE (RSDI)
(AKA SOCIAL
SECURITY
BENEFITS)**

All Programs

RSDI is a federal benefit administered by the Social Security Administration that is available to retired and disabled individuals, their dependents, and survivors of deceased workers.

Count the gross benefit amount as unearned income.

Exceptions:

- Special rules apply when determining MA eligibility for certain former SSI recipients; see [BEM 155, Countable RSDI Income](#), [BEM 157, Countable RSDI](#) and [BEM 158, Countable RSDI](#). These special rules do **not** apply to post-eligibility patient-pay amount calculations in [BEM 546](#).
- Exclude Medicare premium refunds as income and as assets. Refunds are made because there is a delay of about 120 days between when Medical Services Administration initiates Medicare buy-in and an individual's benefit check changes; see [BAM 810, Medicare and Medicare Cost-Sharing](#).

- The Social Security Administration authorizes qualified organizations to deduct a fee for acting as a representative payee. Exclude the fee withheld by an authorized organization.
- See [BEM 500, Returned Benefits](#).
- See [BEM 400, Retroactive RSDI and SSI Exclusion](#).

Medicaid Only

Note: Countable RSDI for fiscal group members is the gross amount for the previous December when the month being tested is January, February, or March. Federal law requires the cost-of-living (COLA) increase received in January be disregarded for these three months. For all other months countable RSDI is the gross amount for the month being tested.

MAGI Medicaid Only

Special budgeting rules apply when determining eligibility for MAGI Medicaid.

- All RSDI income is countable to tax-filers and adults not claimed as dependents.
- A child/tax-dependent's RSDI is countable only if that child or tax-dependent is required to file taxes.
 - In order to be required to file taxes the total of a child or tax-dependent's RSDI and other income must be over the tax filing threshold for the year.
 - Their RSDI income is only countable toward the tax threshold if half of their yearly RSDI amount (monthly amount times 12 and then divided by 2) plus all their other taxable income is greater than \$25,000.

Example: A child claimed by their parents has \$4,000 a year in wages and \$12,000 a year in RSDI income. Half of their RSDI is \$6,000 per year. $\$6,000 + \$4,000 = \$10,000$. \$10,000 is less than \$25,000 therefore their RSDI is not counted toward their tax filing threshold. Their wages alone are less than the filing threshold so none of their RSDI or wages are countable in their Medicaid eligibility determination.

Example: A child is claimed by their parents has \$6,000 a year in wages and \$40,000 in RSDI. Half of their RSDI is \$20,000 per year.

\$6,000 + \$20,000 is \$26,000. \$26,000 is more than \$25,000 therefore their RSDI is counted toward the tax-filing threshold. The child is required to file taxes. Therefore, all the RSDI and wages are countable in their Medicaid eligibility determination.

- If a child or tax-dependent meets an exception outlined in BEM 211 and therefore falls into non-tax filer rules then all their RSDI income is countable to them even if they are not required to file taxes.

Example: A child is receiving \$12,000 per year in RSDI benefits and is claimed by their grandparent. Because they are claimed by someone other than a parent or spouse use non-tax-filer rules to determine their household. All \$12,000 of RSDI is countable in their Medicaid eligibility determination.

- Individuals who receive RSDI income will receive an SSA-1099 form. Included with that form is a worksheet that should help them determine which parts of their RSDI may be taxable.
- **Note:**

RICKY RAY HEMOPHILIA RELIEF ACT

All Programs

The Ricky Ray Hemophilia Relief Act (P.L. 105-369) established a temporary fund administered by the U.S. Secretary of the Treasury to pay money for certain human immunodeficiency virus infected individuals.

A payment an individual receives from that fund is excluded as income and assets.

S-CORPORATION (S- CORP) AND LIMITED LIABILITY COMPANY (LLC)

All Programs

Dividend or interest income received from an S-Corp or LLC for a shareholder or partner, is unearned income. See *Interest and dividends paid directly to individual* in this item.

**SALE OF PROPERTY
IN INSTALLMENTS****All Programs**

This section applies only to the sale of real property with payments in installments (example: land contract). Other sales of real property are conversion of an asset from one type to another.

Count each installment payment, minus allowable expenses, as unearned income.

The seller may remain liable for certain expenses on the property even though the property has been sold. Such expenses are allowable. Examples include:

- Taxes.
- Insurance.
- Debts secured by property lien.

SCORE AND ACE

Service Corps of Retired Executives (SCORE) and Active Corps of Executives (ACE) are Domestic Services Volunteers Act, Title II programs. Payments are excluded unearned income under Title II of Public Law 93-113.

Exclude as income and an asset.

**SICK AND
ACCIDENT
INSURANCE
PAYMENTS****All Programs**

Sick and accident insurance pay a flat rate benefit due to illness or injury without regard to actual charges or expenses incurred. This does not include long-term care facility insurance payments. Examples include:

- \$60 for each day hospitalized.
- Lost wage benefits following a car accident.
- Short or long-term disability payments.

Enter the gross amount of these payments as unearned income.

Count as unearned income. If there is an expense for obtaining these income types (for example insurance premium payment), enter the expense.

MAGI Medicaid

Private disability insurance funded entirely by the individual, with no employer contributions, is not taxable income. The income received under this type of self-funded plan is not countable income in a MAGI Medicaid eligibility determination.

SPOUSAL SUPPORT

All Programs

Spousal support is a payment from a spouse or former spouse because of a legally enforceable obligation for financial support. It includes maintenance and alimony payments.

See [BEM 500, Third Party Assistance](#), if support is paid to a creditor or service provider.

MAGI Medicaid

Divorce or separation agreements executed or modified after December 31, 2018, exclude spousal support as countable income in a MAGI Medicaid eligibility determination.

The payments are not tax deductible for the payer spouse nor taxable income to the receiving spouse.

Spousal Support Certified

Certified spousal support means court-ordered payments the Michigan State Disbursement Unit (MiSDU) sends to MDHHS due to an individual's FIP activity. This occurs occasionally, when spousal support is part of a child support order.

Certified support is counted only in the FIP support income test.

Spousal Support Direct

Direct spousal support is a payment received by the spouse or ex-spouse because of a legally binding obligation.

Count the total amount as unearned income, except any portion that is court-ordered or legally obligated directly to a creditor or service provider.

Spousal Support Voluntary

Voluntary spousal support is a payment received by the spouse or ex-spouse that is not court ordered. Count the total amount as unearned income.

STRIKE BENEFITS

All Programs

Count the gross amount received as unearned income.

FAP Only

See [BEM 227, Strikers](#), for budgeting policies.

SUPPLEMENTAL SECURITY INCOME (SSI)

All Programs

SSI is a benefit administered by the Social Security Administration. SSI is a means-tested program that can be received based on age, disability or blindness.

Michigan SSI benefits include a basic federal benefit and an additional amount paid from state funds. The amount paid by the state and the payment process varies by living arrangement; see [BEM 660, State SSI Payment](#).

For SSI recipients in independent living or household of another, refer to Current SSA-Issued SSI, Retroactive SSA-Issued SSI and State SSI Payments below. For SSI recipients in other living arrangements, refer to just Current SSA-Issued SSI and Retroactive SSA-Issued SSI.

Current SSA- Issued SSI

FIP, RCA, Medicaid

Exclude the amount of current SSA-issued SSI as income.

SDA, CDC, and FAP Only

Count the gross amount of current SSA-issued SSI as unearned income. SSI amounts withheld to recoup overpayments due to an intentional program violation (IPV) as defined below are also included in the gross amount.

IPV means there was a finding of fraud or an agreement to repay in lieu of prosecution. Count recouped SSI only if IPV information is volunteered by the SSI recipient or other reliable source. Do **not** initiate any contacts; see [BEM 500, Reduced Benefits Due to Overpayment](#).

Exception: The Social Security Administration authorizes qualified organizations to deduct a fee for acting as a representative payee. Exclude the fee withheld by an authorized organization.

Retroactive SSA-Issued SSI**All Programs**

Retroactive SSI benefits may be paid as a one-time payment or in installments over several months. SSA determines how the retroactive benefits will be paid.

FIP, SDA, RCA, RMA, CDC, and FAP Only

Retroactive SSI benefits are considered assets whether paid as a one-time payment or as installment payments.

An individual may receive a payment that includes a portion intended as current benefits as well as a portion intended as retroactive benefits. The portion intended as current benefits is income.

Medicaid

Retroactive SSI benefits are income in the month received; see [BEM 400, Retroactive RSDI and SSI Exclusion](#), about the income and asset exclusion for SSI-related MA .

SDA Only

When retroactive SSI is issued while an SDA application or hearing is pending, determine eligibility for each potential SDA month by budgeting the amount of the SSI intended to cover that month.

State SSI Payments

All Programs

State SSI Payments (SSP) are issued quarterly. Payments are issued in the final month of each quarter; see [BEM 660, State SSI Payment](#).

FIP, RCA, RMA, Medicaid

Exclude as income.

SDA, CDC, and FAP Only

Whenever an SSA-issued independent living or household of another payment is budgeted, Bridges counts the corresponding monthly SSP benefit amount as unearned income; see RFT 248, SSI Payment Levels.

Example: If the federal SSI amount being budgeted is for independent living, Count the monthly SSP benefit amount for independent living.

Bridges does not count as income, SSP benefits paid when the individual is no longer an SSI recipient.

TAX REFUNDS AND TAX CREDITS

All Programs

Tax refunds and credits are assets, **not** income; See, [BEM 400, Tax Refund and Tax Credit Exclusion](#).

Earned Income Tax Credit, EITC, Advanced

Individuals can elect to receive a portion of an anticipated Earned Income Tax credit in regular pay checks. Do not enter advance payments of the Earned Income Credit as part of wages or as unearned income. They are not countable for any type of assistance; see [BEM 501, Wages](#).

TRUST PAYMENTS

All Programs

Count payments from a trust to a beneficiary as the beneficiary's unearned income.

FIP, SDA, CDC, and FAP Only

In addition, count any amount of trust income that the beneficiary can instruct the trust to pay them. It is the beneficiary's unearned income.

UNEMPLOYMENT BENEFITS

All Programs Except Freedom To Work (FTW)

Unemployment benefits include all the following:

- Unemployment benefits available through the Michigan Unemployment Insurance Agency (UIA) and comparable agencies in other states.
- Supplemental unemployment benefits (SUB pay) from an employer or other source.
- Trade Readjustment Act (TRA) payments.

Count the gross amount as unearned income.

Exception: Sometimes benefits are reduced because the individual has earnings. In such cases, the reduced amount is the gross amount. Exclude amounts listed under recoupment as unearned income and assets, see [BEM 500, Returned Benefits](#).

Freedom To Work Only

Exclude unemployment benefits as income.

MAGI Medicaid Only

Unemployment benefits should be treated as a reasonably predictable change in income and only be budgeted for the time period they are expected to be received. Unemployment benefits should be budgeted using PAI if there is a defined begin and end date.

**URBAN CRIME
PREVENTION**

This is a Domestic Services Volunteers Act, Title I program. Payments are excluded unearned income under Title I of Public Law 93-113.

Exclude as income and as an asset.

**U.S. CIVIL SERVICE
AND FEDERAL
EMPLOYEE
RETIREMENT
SYSTEM****All Programs**

The U.S. Office of Personnel Management makes payments because of the disability, retirement or death of a federal employee.

Counts the gross amount as unearned income.

Exception: Exclude Medicare premium refunds as income and as assets. The refunds are because there is a delay of about 120 days between when Medical Services Administration initiates Medicare buy-in and an individual's benefit check actually changes; see [BAM 810, Medicare and Medicare Cost-Sharing](#).

**VETERANS
BENEFITS****All Programs**

The Department of Veterans Affairs (VA) has numerous programs that make payments to veterans and their families. The most common types are discussed below.

**VA PENSION AND
COMPENSATION****All Programs**

Pension payments are based on a combination of need, age, and/or nursing home status. Pensions are normally paid monthly. However, the VA may make the payment quarterly, twice a year or annually if the amount is less than \$19 per month.

Compensation payments are based on service-connected disability or death.

The pension and compensation payment can also include:

- Aid and Attendance.
- Housebound allowance.
- VA Clothing Allowance.
- Adjustment for Unusual Medical Expenses.
- Augmented Benefits.

Note: These allowances are **not** identifiable on a check stub or award letter. Accept the individual's statement that the payment does **not** include any of these additional allowances.

Count the gross amount of the pension or compensation as unearned income.

Exceptions:

- Exclude any portion of a payment resulting from an Aid and Attendance or Housebound allowance from the eligibility determination.
- Augmented benefits may be excluded; see *augmented benefits* in this item.

Exclude any portion of a payment resulting from unusual medical expenses; see VA Adjustment for Unusual Medical Expenses in this item. The VA calls a payment that is increased because of a dependent an augmented benefit. If the VA chooses to pay the dependent's portion directly to the dependent, it is called an apportionment payment; see apportionment payment in this item.

VA Educational Benefits

All Programs

VA provides educational benefits under several programs.

Exclude as income and as an asset.

VA Aid and Attendance and Housebound Allowances**All Programs**

Payments are made to veterans, spouses of disabled veterans, and surviving spouses who are:

- In regular need of the aid and attendance of another individual.
- Housebound.

The payment is included with the pension or compensation payment.

Exclude as income and as an asset the portion of a VA pension or compensation that is the aid and attendance or housebound allowance.

Note: Aid and Attendance is not excluded from the patient pay calculation see; [BEM 546, total income/countable income](#).

VA Adjustment for Unusual Medical Expenses**All Programs**

VA increases some pension and compensation payments due to unusual medical expenses.

Exclude the increase due to unusual medical expenses as income and an asset.

VA Clothing Allowance**All Programs**

A lump-sum clothing allowance is payable in August of each year to veterans with a service-connected disability for which a prosthetic or orthopedic appliance or wheelchair is used.

Exclude the clothing allowance as income and an asset. It is a reimbursement.

**VA Spina Bifida
Benefits****All Programs**

Benefits are available to Vietnam veterans' natural children with spina bifida.

Exclude these benefits as income and as assets.

**Apportionment
Payment****All Programs**

Apportionment is direct payment of VA benefits to a dependent of the veteran or veteran's surviving spouse. The VA decides whether and how much of such benefits to pay on a case-by-case basis.

These payments are countable unearned income.

Augmented Benefit**All Programs**

An augmented benefit is a VA benefit that has been increased because of a dependent. The increase is usually included in the payment made to the veteran or the veteran's surviving spouse.

The dependent's portion of an augmented benefit is the dependent's income. That portion is countable as the dependent's unearned income when the dependent lives with the individual receiving the VA benefit.

Exclude the dependent's portion as unearned income for the dependent and the VA beneficiary if they do **not** live together.

Note: Actual payments by the VA beneficiary to the dependent when they live apart are budgeted as unearned income to the dependent when determining the dependent's eligibility.

**VA SERVICE-
CONNECTED
DISABILITY
PAYMENT**

Service-connected disability payments are made for an injury or sickness that:

results directly from armed conflict,
occurs while someone is engaged in extra hazardous service,
occurs under conditions simulating war (including training exercises such as maneuvers),
is caused by an instrumentality of war.

MAGI Medicaid Only

Payments received due to a combat-related disability are not taxable income.

Non-MAGI Medicaid Only

Payments received due to a combat-related disability are countable unearned income.

**WORKERS'
COMPENSATION****All Programs**

Workers' compensation payments are available under various federal and state laws to individuals with a job-related illness or injury and to survivors of a deceased worker. Payments might be made by a government agency, an insurance company or an employer.

Count the gross payment as unearned income.

Exception: Exclude compensation awarded for a use which carries legal sanction if used for another purpose. Exclude as income and as an asset.

MAGI Medicaid Only

Workers' compensation amounts received for an occupational sickness or injury are not countable for MAGI Medicaid if they are paid under a workers' compensation act or statute. These amounts are also not countable for survivors.

If an individual retires due to an occupational sickness or injury, any retirement plan benefits that are received based on age, length of service, or prior contributions to the plan are countable.

Any countable workers' compensation payments should be treated as a reasonably predictable change in income and only be budgeted for the time period they are expected to be received.

PAI should be used to budget workers' compensation payments that have a defined begin and end date.

YOUTHBUILD

All Programs

Youthbuild payments are disregarded as income if received by an individual who is:

- Under age 18.
- Age 18 and living with someone providing care or supervision.
- For LIF only, age 19 and a dependent child.

Other types of payments (stipends, grants, etc.) under Youthbuild are excluded.

VERIFICATION REQUIREMENTS

All Programs

Verify non-excluded income at all the following:

- Application, including a program add, prior to authorizing benefits.
- At member add, only the income of the member being added.

Note: See [BAM 220, Case Actions](#), for CDC Member Add, and CDC member add requirements and All Other Reported Changes (FAP Only).

- Redetermination.
- When program policy requires a change be budgeted.

Exception: For FIP, SDA, RCA, CDC and FAP verify income that decreases or stops. See [BAM 220, All Other Reported Changes \(FAP Only\)](#). Do not verify starting or increasing income unless income change information is unclear, inconsistent or questionable. Select **starting or increasing**

income as the verification source. Selecting **client statement** as the verification source results in Bridges incorrectly pending eligibility and generating a Verification Checklist.

Exception: For MA, Bridges accepts client statement regarding changes in income for ongoing eligibility determination groups unless a redetermination is being completing.

Use available electronic methods (for example consolidated inquiry or SOLQ) to verify income. When electronic verification is not available or inconsistent with an individual's statement, the individual has primary responsibility for obtaining verification. Do not deny assistance based solely on an employer or other source refusing to verify income; see [BAM 130, Verification and Collateral Contacts](#), and [BEM 702, CDC Verifications](#).

MAGI-Related Medicaid Only

The income earned by children under the age of 19 does not need to be verified. An individual's statement is acceptable. Anyone in the Medicaid group age 19 and over must have their income verified.

VERIFICATION SOURCES

All Programs

Child Support Certified, Direct (Court-Ordered), Refund and Reimbursement

- Consolidated Inquiry.
- Letter or document from individual/agency making payment.
- Check stub.
- Data obtained from the Michigan child support enforcement system (MiCSES). (Select other acceptable).
- Contact with child support specialist. (Select other acceptable).

**Child Support
Voluntary (Not
Court Ordered)**

- Information from the friend of the court (DHS-243, Verification of Public Records).

Cryptocurrency

- Letter or document from individual making payment.
- Other acceptable method that provides necessary information.

**Refugee Matching
Grant**

- Receipt, letter or statement showing the amount of U.S. dollars received.
- Other acceptable method which provides necessary information.

**Refugee
Resettlement
Income**

- DHS-1564, Verification of Matching Grant.
- Letter or document from refugee resettlement agency.

RSDI and SSI

- DHS-1565, Verification of Refugee Resettlement Income.
- Letter or document from refugee resettlement agency.
- Recent check stub(s).
- Consolidated Inquiry.
- SOLQ.
- BENDEX/SDX.
- Award letter.
- Statement from or contact with a reliable source. (Select other acceptable as the verification source.)

**Unemployment
Benefits**

- Recent check stub.
- Consolidated Inquiry.
- Unemployment Insurance Agency.
- Other acceptable method that provides necessary information.

VA Benefits

- DHS-75, Verification of VA Payments.
- Other acceptable method that provides necessary information.

MA only

- Award letter from the VA. The letter may be dated up to 18 months prior to the application or recertification.
- Contact with the VA which breaks down the amounts of the VA payments if the breakdown is not included on the letter. The breakdown amounts may be written on the award letter.
- Current information from the official VA website listing the pension payment and breakdown of other payments.

**EXHIBIT - NATIVE
AMERICAN
PAYMENTS
EXCLUSION****All Programs**

Exclude payments to Native Americans as income and an asset under the following laws:

- Public Law 92-203: Tax exempt portions of payments under the Alaska Native Claims Settlement Act.
- Public Law 92-254: Judgment funds to members of the Blackfeet Tribe of Blackfeet Reservation, Montana, and Gros Ventre Tribe of the Fort Belknap Reservation, Montana.
- Public Law 93-134: Funds distributed to members of the Indian tribes and the purchases made with such funds. Also, exclude up to \$2,000 per year of income received by an individual Indian that is derived from leases or other uses of individually owned trust or restricted lands.
- Public Law 93-531: Relocation assistance payments to members of the Hopi and Navajo Tribes.
- Public Law 94-114: Receipts distributed to members of certain Indian tribes.
- Public Law 94-189: Payments received under the Sac and Fox Indian agreements.
- Public Law 94-540: Judgment funds to the Grand River Band of Ottawa Indians.

- Public Law 95-433: Payments by the Indian Claims Commission to the Confederated Tribes and Bands of the Yakima Indian Nation or the Apache Tribe of the Mescalero Reservation.
- Public Law 96-420, Section 5: Payments to the Passamaquoddy Tribe and the Penobscot Nation or any of their members received pursuant to the Maine Indian Claims Settlement Act of 1980.
- Public Law 98-64: Funds distributed to members of Indian tribes and purchases made with such funds.

Exception: For FAP only, if recurring payments are made from funds held in trust by the Secretary of the Interior, count the amounts over \$2,000 per individual as unearned income. Amounts of onetime payments over \$2,000 per individual are countable assets. (Public Laws 97-458 and 98-64).

- Public Law 98-123: Funds distributed to members of the Red Lake Band of Chippewa Indians.
- Public Law 98-124: Funds distributed to the Assiniboine Tribe of the Fort Belknap Indian Community and the Assiniboine Tribe of the Fort Peck Indian Reservation.
- Public Law 99-346: Payments and distribution of judgment funds to the Saginaw Chippewa Indian Tribe of Michigan. May be called payments from the Investment Fund or Elderly Assistance Investment Fund.
- Public Law 105-143: Distributions under this law are NOT considered income or assets. This law provides funds to Ottawa and Chippewa Indians of Michigan.
- Public Law 111-291, Sec.101(f)(2) of the Claims Resolution Act of 2010: Payments received from the Cobell vs. Salazar Settlement.

LEGAL BASE

FIP

Annual Appropriations Act
MCL 400.1 et seq.

SDA

Annual Appropriations Act
Mich Admin Code, R 400.3151 – 400.3180

RCA

45 CFR 400
P.L. 106-386 of 2000, Section 107

CDC

The Child Care and Development Block Grant (CCDBG) Act (42 USC § 9858 et seq.), as amended by the CCDBG Act of 2014 (Pub. L. 113-186).
45 CFR Parts 98 and 99
Social Security Act, as amended 2016

MA

Social Security Act Sections 1902(a)(10), 1931
42 CFR 435, Subparts H and I
MCL 400.106
The Affordable Care Act (Pub. L. 111-148) and the Health Care and Education Reconciliation Act (Pub. L. 111-152).

FAP

7 CFR 273.9, 273.12(e)(3)
Child Care and Development Block Grant of 1990, as amended
42 USC 4601 et seq., 1437 et seq., 3001, 5121 et seq., 4950,
2210, 1612 (a)(2), 9858 et seq.
300 c-22
43 USC 1601 et seq.
50 USC app 1989b-4
25 USC 1401 et seq., 459 e
12 USC 1701
P. L. 108-447, 111-5, 1002(g)(2)
American Recovery and Reinvestment Act of 2009
Filipino Veterans Equity Compensation Fund

All Programs

P. L. 111-291, Sec.101(f)(2) of the Claims Resolution Act of 2010:
Payments received from the *Cobell v Salazar* Settlement
Affordable Care Act, Public Law 111-148
P.A. 67 of 2019